IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP/100 & 101/CAA/2020
In
CA/922 & 922-A/CAA/2019

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Amalgamation*

Between

M/s. HARITA SHEELA PRIVATE LIMITED

... Petitioner / Transferor Company

And

M/s. HARITA TRADE AND SERVICES PRIVATE LIMITED

... Petitioner / Transferee Company

And

Their Respective Shareholders

Order Pronounced on 24th February 2021

CORAM

R. VARADHARAJAN, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): P.H. Arvindh Pandian, Senior Advocate
For Pawan Jhabakh, Advocate

COMMON ORDER

Per: **R VARADHARAJAN, MEMBER (JUDICIAL)**

1. CP/100 & 101/CAA/2020 are Company Petitions filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to

as the 'SCHEME') as contemplated between the Petitioner Companies viz. **M/s. Harita Sheela Private Limited** *(hereinafter referred to as "Transferor Company")* and **M/s. Harita Trade and Services Private Limited** *(hereinafter referred to as "Transferee Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also commonly annexed as Annexure "A4" to the typed set filed along with the CA/100 and 101/CAA/2020.

2. **1ST MOTION APPLICATION – IN BRIEF**

2.1. The Transferor and Transferee Companies have filed the First Motion Application vide CA/922 & 922-A/CAA/2019 seeking for directions for dispensation of the meetings of the Equity Shareholders. Further it was stated that there were no Secured or Unsecured Creditors in relation to both the Companies and based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 09.09.2019. Subsequent to the said order, the Petitioner Companies have filed the present

second motion Petition before this Tribunal on 01.11.2019 for sanction of the Scheme of Amalgamation as contemplated between the parties.

3. RATIONALE OF THE SCHEME

3.1. The Rationale and benefits of the Scheme as submitted by the Learned Senior Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. The Amalgamation will enable consolidation of the business of the two entities into one entity which will facilitate in focused growth, operational efficiency, integration synergies and better supervision of the proposed business of the group.

b. The amalgamation will enable pooling of resources of the Transferor Company with the resources of the Transferee Company to their advantage, resulting in more productive utilization of said resources, and cost and operational efficiency which would be beneficial to all stakeholders.

c. The amalgamation would facilitate scaling of operations , reduce administrative costs and garner greater visibility in the market.

d. The amalgamation would reduce shareholding layer and enable the shareholders of the Transferee Company to have direct control of the assets / business of the Transferor Company.

4. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 06.02.2020 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "News Today", English (Chennai Edition) and "Maalai Chudar" Tamil (Chennai Edition).

5. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service vide email to the Registry of this Tribunal on 24.09.2020 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the Tribunal in one issue of "News Today" (Chennai Edition) in English and "Maalai Chudar" (Chennai Edition) in Tamil on 16.03.2020. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on 23.03.2020 (ii) Registrar of Companies Chennai on 23.02.2020 (iii) Assessing Officer, Income Tax Department on 23.03.2020 and (iv) The Official Liquidator on 23.03.2020. Pursuant to the

service of notice of the petition the following statutory authorities have responded as follows;

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report on 22.11.2019 before this Tribunal and has stated that Clause 7 of Part II of the Scheme provides for the protection of the interest of the employees of the Transferee Company. It was further observed that as per the report of RoC, Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns. Further, it is also stated in the report that no prosecution / Inspection or Investigation is pending against the Companies. However, the RD in para 9 of their affidavit has stated that Clause 11 of Part II of the Scheme provides for merger of authorized capital of the Transferor Company with the Transferee Company and has thus sought for a direction to the Transferee Company to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 by making an application to the RoC, Chennai for the payment of the balance fees as applicable under the provisions of the Companies Act, 2013 and the

rules framed thereunder. Thus, after examining the Scheme, the Regional Director in para 9 of its Report has stated that they have decided not to make any objection to the Scheme.

6.2. **OFFICIAL LIQUIDATOR**

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued in the first motion stage itself has filed the Report before this Tribunal on 05.12.2019 and has stated that they have appointed M/s. Manian & Narayanan, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Transferor Company is maintaining proper books of accounts as per the requirements of the Companies Act, 2013 and have maintained and written up the books of accounts in accordance with normally accepted accounting principles.

- All entries have been made in the Statutory Registers in accordance with the requirements of the Companies Act, 1956 / 2013, no

discrepancies were noticed by the Chartered Accountant during their review.

- The Transferor Companies is regular in filing Income Tax returns and as on date no dispute is pending before any authorities in respect of Income Tax.

- The Chartered Accountants have not come across any discrepancy while carrying out the inspection of returns & forms filed by the Transferor Company and as available with the Registrar of Companies, Tamil Nadu.

From the above observations made by the Chartered Accountants, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ₹30,000/- (Rupees Thirty Thousand Only) to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

6.3. INCOME TAX DEPARTMENT

Inspite of notice being served to the Income Tax department by the Transferor and Transferee Companies on 23.03.2020, there was neither any representation nor any report filed by the said authorities. In the said circumstances, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> "taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection

be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

6.4. OTHER STATUTORY AUTHORITIES

In relation to other statutory authorities, it is noted that this Tribunal vide order dated 29.01.2021 observed that the Petitioner Companies till the year of 2018 was engaged in the Non – Banking Finance Business and the certificate of registration was cancelled by the Reserve Bank of India. A query was posed to the Learned Senior Counsel for the Petitioner Companies that whether any deposit has been collected from the public by the said companies, to which the Learned Senior Counsel for the Petitioner Companies points out to the Certificate issued by the Chartered Accountant that there are no creditors in relation to the Petitioner Companies. Further, the Petitioner Companies have also filed an Affidavit to the effect that they have not received any deposit from the public and the same is filed vide Diary No. 571 before this Tribunal on 02.02.2021.

7. VALUATION REPORT

7.1. The Learned Senior Counsel for the Petitioner Companies invited the attention of this Tribunal to the

Valuation Report obtained from one Niranjan Kumar, Registered Valuer dated 01.05.2019, wherein it has been recommended by the Independent Valuer as follows;

- The fair exchange ratio has been arrived at on the basis of a relative (and not absolute) equity valuation of the Companies for the proposed amalgamation based on the various methodologies mentioned herein earlier. Suitable rounding off have been carried out wherever necessary to arrive at the fair value / exchange ratio.

- 394 equity shares of Transferee Company of INR 10 each fully paid up for every 100 equity share of Transferor Company of INR 10 each fully paid up.

8. ACCOUNTING TREATMENT

8.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies has complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each Petitioner Companies are placed at pages 103 and 129

to the typed set of CA/100/CAA/2020 and CA/101/CAA/2020 respectively filed along with the petition.

9. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* in compliance with the provisions of the Companies Act, 2013. Further there seems to be no objection on the part of the shareholders that the Scheme is any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation appended as Annexure "A4" along with CA/100/CAA/2020 and CA/101/CAA/2020 as well as the prayer made therein.

9.2. The Learned Senior Counsel for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act,

1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall pursuant to section 232(3)

of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(iv) That the Appointed date for the Scheme shall be **1st April 2019** as specified in the Scheme itself in terms of Section 232 (6) of the Companies Act, 2013.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 10.1 of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this

order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petitions stand **allowed** on the aforementioned terms.

-SD-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-SD-
(R.VARADHARAJAN)
MEMBER (JUDICIAL)

Raymond